Question #1 of 25

Question ID: 1472332

After a recent financial crisis, Ruritania and all of its neighbors except one voted to enact stringent regulations prohibiting 100% mortgage loans. (A 100% mortgage is one where the borrower receives a loan amount equal to the total value of the property.) The Ruritanian government is now concerned that firms may leave Ruritania and base themselves in a country without the stringent regulation. This situation is *best described* as an example of:

A) regulatory arbitrage.

B) regulatory capture.

C) regulatory burden.

Explanation

When a company chooses to relocate to a new jurisdiction to avoid regulation, this is an example of regulatory arbitrage. Regulatory capture leads to regulation intended to enhance the interests of regulated entities. Regulatory burden refers to the costs of regulation for the entity being regulated.

(Module 7.1, LOS 7.f)

Question #2 of 25

Question ID: 1472323

The requirement for firms to carry out an annual independent audit is best described as a regulation implemented to address:

A) externalities.

B) sub-optimal allocation of resources.

C) information asymmetry.

Explanation

Management have greater knowledge than investors, a situation known as informational asymmetry which the independent audit seeks to address. Audits promote high quality financial reporting, which reduces the information asymmetry between management and investors. Externalities are costs and benefits affecting a party that did not choose to incur that cost or benefit. Externalities often lead to sub-optimal production decisions.

(Module 7.1, LOS 7.a)

Question #3 of 25

Question ID: 1472336

"Net regulatory burden" is *best* defined as:

A) direct costs of implementation, less private benefits resulting from implementation, plus the indirect cost of changes in economic behavior resulting from implementation.

B) direct costs of implementation, plus the indirect cost of changes in economic behavior resulting from implementation.

C) direct costs of implementation, less private benefits resulting from implementation.

Explanation

Net regulatory burden measures direct and indirect costs against the private benefits resulting from implementation.

(Module 7.1, LOS 7.h)

Question #4 of 25

Question ID: 1472334

Which of the following regulatory interventions is theoretically *least* effective?

A) Imposing a punitive tax on the consumption of junk food to cut its consumption.

B) Subsidizing the cost of environmentally friendly projects for small firms.

C) Requiring a company to pay a fine if annual financial statements are not filed in a timely fashion.

Explanation

Fining the company would place the regulatory burden on the shareholders whom the regulation is intending to protect.

(Module 7.1, LOS 7.g)

Question #5 of 25

Question ID: 1472330

Which of the following statements regarding self-regulating bodies is *least accurate*?

A) FINRA in the U.S. is an example of a self-regulating organization in the financial markets.

B) Self-regulating bodies are recognized by the government.

C) Self-regulatory bodies are private organizations that both represent and regulate their members.

Explanation

Not all self-regulating bodies are regulators: SRBs are only regulators if they receive government recognition. In some countries, SRBs are never recognized by the government. Self-regulating organizations (SROs) differ from standard self-regulatory bodies in that SROs are given recognition and authority by a government body or agency. FINRA is an example of a self-regulating organizations (SROs); its purpose is to ensure that the securities industry operates fairly.

(Module 7.1, LOS 7.f)

Question #6 of 25

Question ID: 1472335

A review of an existing regulation with a sunset clause has revealed that the net regulatory burden is less than the initial estimates. A possible reason for this is that:

A) private benefits were underestimated.

B) regulatory burden was underestimated.

C) indirect costs were underestimated.

Explanation

The net regulatory burden is the difference between the regulatory burden and private benefits. Prior to implementation of the regulation, a potential net regulatory burden is estimated. A sunset clause requires regulators to use actual outcomes to see if the regulation should be renewed. This is a comparison between actual and estimated values. Only when private benefits are underestimated would the actual net regulatory burden be less than the estimated.

(Module 7.1, LOS 7.h)

Question #7 of 25

Question ID: 1472326

A Swiss company is looking to acquire their main competitor based in Singapore. This acquisition could create a company that represents 55% of the market share. An analyst following this industry must be aware of potential anti-trust regulatory issues in:

A) Switzerland.

B) Singapore.

C) both Singapore and Switzerland.

Explanation

Regulators in both countries can potentially block this acquisition. An analyst following the industry has to be aware of both countries' anti-trust regulations.

(Module 7.1, LOS 7.c)

RRT is a small democratic country in the South Pacific. Due to advantageous taxation rules it has grown rapidly over the last ten years as an influx of overseas investment gave rise to a significant financial services industry. Tom Wiggins, CFA, covers RRT for the investment firm he works for in the U.S. He correctly predicted RRT's rapid expansion and as a result his monthly research reports are widely distributed.

RRT is now facing a challenging period, however, as a high profile scandal has rocked the finance industry and is likely to lead to a series of sweeping reforms. The scandal centered on the two largest commodity futures exchanges which together processed 98% of commodity derivative transactions in the country. A whistleblower revealed that the market participants had colluded over a period of several years to keep spreads and commissions artificially high. There has also been a significant increase in insider trading cases, and an even more alarming increase in the number of such cases which have failed to result in a successful prosecution.

Regulation of the exchanges had been the responsibility of the Market and Trading Commission (MTC), a government agency which gained its authority from the Fair Market Trading Act (1992), a wide reaching but out-of-date piece of legislation that still governs the market today. The MTC in turn delegates responsibility to several other organizations. The two organizations that have been most heavily criticized as a result of the scandal are the Derivatives Trading Commission (DTC) and the Public Audit Commission (PAC).

The DTC is a self-regulating organization whose quoted mission is to 'protect market participants from abusive practices and promote transparent and competitive markets'. In carrying out this mission, the DTC has the power to prosecute under the Fair Market Trading Act and hand out fines of up to the equivalent of USD 50,000,000, in addition to custodial sentences.

The PAC was established by the previous government as a non-profit organization with the aim of overseeing the audit of all public companies. It is funded through a share of audit fees and staffed directly by the MTC.

The DTC has been criticized for failing to pick up on the market collusion and generally failing to utilize its powers to their full extent. The largest fine it has handed out to date is the equivalent of USD 2,500,000.

The PAC has had a troubled history since its formation. An independent review found that the audits of the companies accused of collusion failed to identify 'clear evidence' of collusion that they should 'reasonably' have been expected to uncover.

The PAC's response was that this kind of 'detective' work was not part of the statutory audit requirements and neither audit opinion was found to have been inappropriate.

The suggested reforms will take the form of a new piece of legislation to replace the Fair Market Trading Act (1992) and shake up the structure of market regulation. The reforms that Wiggins thinks will have the biggest impact if enacted are listed in Exhibit 1.

Exhibit 1– Potential Reforms

Proposal 14a.3 Maximum Spread/Commissions on Futures Transactions

The government has suggested putting a ceiling on spreads and commissions to limit the potential for the two exchanges to exploit their duopoly. Wiggins thinks that the limits are very low and the government may end up having to subsidize losses that the companies may make. His opinion is that the government is using the scandal as an excuse to reduce trading fees and attract trading to the country from overseas.

Proposal 18.d.5 Increased Disclosure Requirements for Hedge Funds and Private Equity Funds

Historically requirements in this area have been limited. New rules will require a large increase in the amount of reporting required for both type of funds, with a fund's prospectus and annual results likely to be subject to an independent audit.

Question #8 - 11 of 25

Question ID: 1586021

Which of the following organizations is most likely to face conflict of interest issues?

A) The Derivative Trading Commission. ✓

B) The Public Audit Commission. ✗

C) The Market and Trading Commission. ✗

Explanation

A conflict of interest issue is most likely to arise when an industry makes use of a self-regulating organization. In this scenario, only the DTC is an SRO.

(Module 7.1, LOS 7.a)

Question #9 - 11 of 25

Question ID: 1586022

If Wiggins is correct about the government motivation for Proposal 14a.3 in Exhibit 1, then this is most likely an example of:

A) regulatory competition. ✓

B) regulatory capture. ✗

C) regulatory arbitrage. ✗

Explanation

This is an example of regulatory competition. The government in this case is using regulation to make the industry more attractive. Regulatory arbitrage will occur if entities shift trading to the country to take advantage of the fee caps.

(Module 7.1, LOS 7.f)

Question #10 - 11 of 25

Question ID: 1586023

The disclosure rules being implemented in Proposal 18d.5 most likely suggest that:

A) regulations have historically focused on institutional investors. ✗

B) regulations have historically focused on retail investors. ✓

C) regulations have historically taken a buyer beware approach for retail investors. ✗

Explanation

Hedge funds and private equity funds are the domain of institutional and sophisticated investors not retail. The previous lack of disclosure requirements suggest a focus on retail investing and a buyer beware approach for more sophisticated investors.

(Module 7.1, LOS 7.b)

Question #11 - 11 of 25

Question ID: 1586024

Which of the following statements is most likely correct regarding the approach a government typically takes to competition?

A) Antitrust laws typically aim to restrict competition from overseas and promote competition domestically.

B) Antitrust laws typically aim to promote competition from overseas and restrict it domestically.

C) Antitrust laws typically aim to restrict competition from overseas and domestically.

Explanation

Typically a government will seek to promote competition domestically but at the same time restrict it from overseas.

(Module 7.1, LOS 7.b)

Question #12 of 25

Question ID: 1472322

Regulations are *least likely* needed under which of the following situations:

A) A small town is experiencing large inflow of out-of- town visitors constraining street parking.

B) A small privately-held developing 'Apps' seeks equity investors to finance development of additional software.

C) A small investor is investigating a speculative stock and applies an incorrect growth estimate for the company's earnings.

Explanation

Regulations are needed in the presence of information asymmetry externalities, weak competition, and social objectives. A privately held company seeking new equity investors would be in a situation where the company insiders have better quality information than the investors (i.e., information asymmetry). Street parking is a public good (i.e., an externality) which needs to be regulated for its optimal production and allocation. Incorrect growth estimates are subjective and not due to information asymmetry and hence would not be a valid justification for regulations.

(Module 7.1, LOS 7.a)

Question #13 of 25

Question ID: 1472325

Which of the following statements is *most accurate* regarding the regulation of security markets?

A) Regulations requiring the insurance of retail deposits at large banks may increase risk-taking incentives for the bank. ✓

B) Most securities markets require investors to transact through intermediaries to reduce potential agency problems. ✗

C) Historically, regulations have focused on large investment schemes such as private equity funds, rather than on retail investors. ✗

Explanation

Regulation has historically focused on the protection of retail investors. When investors work through intermediaries it *introduces* rather than reduces the agency problem. When bank deposits are insured, banks may adopt more aggressive risk-taking policies.

(Module 7.1, LOS 7.b)

Question #14 of 25

Question ID: 1472324

Which of the following is *least likely* to be a purpose of regulating commerce:

A) Protect domestic industries from unfair foreign competition. ✗

B) Restrict unfair competition. ✗

C) Preserve integrity of stock exchanges. ✓

Explanation

Protecting domestic industries and restricting unfair competition are examples of purposes of regulating commerce. Preservation of integrity of stock exchanges is an example of regulating financial markets.

(Module 7.1, LOS 7.b)

Question #15 of 25

Question ID: 1472329

Self regulating bodies that are recognized by the government and are given regulatory powers:

A) are less effective in carrying out regulatory objectives than are governmental agencies.

B) are common in civil law countries.

C) may be susceptible to political pressures from members.

Explanation

SROs are SRBs that are given recognition and regulatory powers. SROs may be still subject to political pressure from their members. SROs when properly supervised by regulatory agencies have been effective in carrying out the objectives of the regulation and use of SROs in civil-law countries is not common.

(Module 7.1, LOS 7.f)

Calisto is a developed market nation with large natural resources, oil and precious metals, with growing financial markets. Calisto is a stable constitutional monarchy with elected representatives as the legislative body, appointed and legislative-majority approved judges as the judicial body, and the ruling royal family as the executive body.

Calisto is a member of COPA, an alliance of three bordering countries, Calisto, Olaguay, and Peristan, that formed a regional monetary union. The COPA currency is known as the 'copa' with the symbol COP.

As part of Calisto joining COPA Calisto has standardized their regulations and regulatory institutions. Regulatory standardization among the three countries was part of the prerequisite for each to join. The standardization covers most major governmental agencies but does not cover all industries. Calisto anticipates having to bear additional costs and loss of productivity in some of their business sectors. Oil and precious metal extractions are expected to be affected by environmental regulations.

Calisto has adopted the COPA Financial Intermediaries Standards (COPA FIS). COPA FIS covers all financial institutions: (1) commercial banks, (2) exchanges for bonds, stocks, commodities and derivatives, and (3) insurance companies and pension entities. The COPA FIS were rewritten as legislation by Calisto's representatives and passed unanimously as the Financial Intermediaries Standards Act of 2001 (FISA).

Calisto restructured their financial regulatory institutions into three different organizations with each institution serving as government recognized self regulatory organizations (SRO) for oversight and enforcement for the industry.

- Commercial Banking Standards Board (CBSB) – regulates all commercial banking including capital requirements, underwriting standards for loans and investments. Often coordinates policy and procedures with the independent Central Bank of Calisto (CBoC).

- Exchange Trading Commission (ETC) – regulates all exchanges including margin requirements, counterparty stipulations, transactional information, transparency rules and market making standards.
- Insurance and Pension Oversight Committee (IPOC) – regulates all insurance and pension related matters.

One example of an ETC regulation is: All companies listed on the Calistose Stock Exchange are required to furnish audited financial statements on quarterly and annual basis prepared by Calistose accounting firms. The accounting standards of Calisto are a combination of US GAAP and IFRS that is used throughout COPA.

Before ETC rules and regulations, Calisto's equities markets were less liquid. The volume of trades have increased significantly since ETC has become the self regulatory organization for financial markets. More Calistose citizens are buying stocks and listing of both Calistose and foreign stocks has risen significantly over the last ten years (2002 – 2012).

Calisto	2002	2012	2022 (est.)
Population (in millions)	45.8	55.2	65.1
GDP (in $ billions)	$1,240.0	$2,000.0	$3,280.0
Effective Income Tax Rate	19.5%	20.4%	22.5%
Savings rate (average is 10.0%)	10.0%	9.8%	9.5%
Number of listed stocks	120	1200	2400

Calisto has a three tiered progressive income tax rates of 10%/20%/30%. Sales tax rates are 5% on most goods except food items and higher tax rates on snack foods, tobacco, alcohol and luxury imports. Most food items are not taxed. Government revenues are derived from taxes and oil revenues from government owned lands.

Tobacco and alcohol consumption in Calisto has been on the rise over the last years. Over the same time period smoking rates have fallen in Olaguay, and Peristan. Olaguay and Peristan both have higher tax rates on tobacco products, government warnings on tobacco packaging and anti-smoking marketing campaigns. Tobacco companies have purposefully targeted Calisto by lowering prices because of the higher demand. Calisto government health leaders will combat the higher smoking rates by adopting similar measures of their COPA members or creating a COPA regional policy.

Fines and penalties for insider trading are prohibitive high. Individuals who are fiduciaries and represent financial firms who are caught for insider trading can face more severe punishment for themselves and their firms.

Question #16 - 19 of 25

Question ID: 1586026

What type of regulation is the Financial Intermediaries Standards Act of 2001 (FISA)?

A) A statute.

B) An administrative regulation.

C) A judicial law.

Explanation

FISA was an act written and passed by Calisto's legislative body. This is a statute.

(Module 7.1, LOS 7.d)

Question #17 - 19 of 25

Question ID: 1586027

A possible economic rationale for Calistose increase in demand for equities is that the regulation intervention has lowered:

A) the savings rate.

B) externalities of public goods.

C) informational friction.

Explanation

Economic rationale for regulations is needed because of informational friction, externalities, weak competition or social objectives. Equities are not a public good so there are no externalities for equities. The savings rate did decrease but that is not an economic rationale of a regulation intervention it is the result of demand for equities. The higher requirements in financial disclosures lessen information asymmetry.

(Module 7.1, LOS 7.d)

Question #18 - 19 of 25

Question ID: 1586028

The differences in the consumption of tobacco is *most likely* a result of:

A) using pricing mechanisms.

B) regulatory capture theory.

C) regulatory arbitrage.

Explanation

Tobacco companies have noticed the differences in regulatory environment. Tobacco companies have found Calisto to be least restrictive for their product; less taxes, no labels and no anti-smoking advertising are all lower regulatory burdens for tobacco producers. Tobacco companies targeting Calisto is a form of regulatory arbitrage. Regulatory capture theory does not apply as there was no mention of tobacco companies or industry employees participating as tobacco regulators. The use of pricing mechanism did not curb tobacco usage.

(Module 7.1, LOS 7.f)

Question #19 - 19 of 25

Question ID: 1586029

Which industry could possibly benefit from Calisto's regulatory changes?

A) Accountancy.

B) Oil.

C) Tobacco.

Explanation

Oil industry will be negatively impacted by environmental regulations. Tobacco industry will be negatively affected by Calisto government actions of adopting regional practices or forming a regional policy. Accountancy may benefit from required actions of companies wanting to list their stocks on Calistose Exchange, creating more demand for Calisto accounting services.

(Module 7.1, LOS 7.i)

Question #20 of 25

Question ID: 1508657

Maldovia is a rapidly growing emerging market economy. To boost the level of capital per worker, the government allows for higher-than-previously allowed levels of depreciation expense for tax purposes on new equipment lowering the effective cost for the business.

This is an example of:

A) a provision of public good/financing private project regulatory tool.

B) a price mechanism regulatory tool.

C) requiring certain activity regulatory tool.

Explanation

Tax breaks on new equipment purchases are effectively government subsidies. Taxes and subsidies are examples of price mechanism regulatory tool.

(Module 7.1, LOS 7.g)

Question #21 of 25

Question ID: 1472328

Gordon Futona is evaluating the regulatory burden faced by a company he follows as an equity analyst. Futona makes the following two statements:

Statement 1	Prudential supervision is a regulatory tool governments may use to limit potential financial contagion.
Statement 2	Antitrust regulation may prevent two companies from merging, but has no power over the pricing policies of firms.

Which of Futona's statement(s) are correct?

A) Statement 2 only.

B) Both statements are correct.

C) Statement 1 only.

Explanation

Statement 2 is inaccurate: antitrust regulation seeks to address any anti-competitive behavior, including practices such as discriminatory pricing. Statement 1 is accurate as given.

(Module 7.1, LOS 7.e)

Question #22 of 25

Question ID: 1472338

Regarding the impact on industry of regulation, regulation is *least* likely to:

A) reduce inefficiencies in the industry.

B) benefit the industry being regulated.

C) increase the size of an industry.

Explanation

Regulation can increase the size of an industry, for example through the use of subsidies. Regulatory capture means that regulation can sometimes benefit the industry being regulated. However, regulation is also likely to introduce inefficiencies – such as the implicit government bailout guarantees of the financial sector which lead to credit spreads that do not fully reflect the credit risk.

(Module 7.1, LOS 7.i)

Question #23 of 25

Question ID: 1472327

Dan Garbutt is studying the burden of regulation that companies in Eglaria, a developing country in Europe, face. He has identified the following regulatory body that he feels places a large regulatory burden on the economy.

> *The Independent Auditing Review Panel (IARP)*
>
> *The IARP is recognized, but not funded by, the government of Eglaria. Funding is via a charge added to the mandatory annual audit for all public companies operating in Eglaria. The IARP's role is to ensure that audits are carried out to a high and consistent standard, and it has the power to revoke the auditing license of any company which it feels is not up to standard. The IARP is run by a board of ten members from a wide range of backgrounds, none of whom are licensed auditors.*

The IARP is *best* described as a:

A) self-regulating organization

B) government agency

C) independent regulator

Explanation

Independent regulators are not government agencies, however they are granted authority by a government and do make some regulations. The IARP is not a government agency as it not funded by the government. Nor is it a self-regulating organization as it is not an organization that regulates its own members.

(Module 7.1, LOS 7.d)

Question #24 of 25

Question ID: 1472331

To combat childhood obesity, the city of San Francisco, CA banned fast food restaurants to bundle free toys with kids menu choices deemed unhealthy. The restaurants simply allowed customers an option to purchase toys at an insignificant cost in lieu of including it free.

This is an example of:

A) Regulatory failure

B) Regulatory capture

C) Regulatory arbitrage

Explanation

Regulatory arbitrage occurs when the firms exploit the difference between the economic substance and interpretation of a regulation. Regulatory capture occurs when the regulatory body gets influenced (or even controlled) by the regulated industry. Regulatory failure is not defined in the curriculum.

(Module 7.1, LOS 7.f)

Question #25 of 25

Question ID: 1543897

Maldovia, an emerging market country in Latin America has joined a trade alliance. To comply with the terms of the alliance, Maldovian government is reducing farm subsidies and increasing taxes on environmentally unfriendly business practices in industrial waste treatment and mining industries.

Due to these changes, which Maldovian industries are *least likely* to shrink?

A) Airline

B) Food processing

C) Mining

Explanation

Reduction in subsidy would shrink food processors as their costs increase. Mining industry would shrink due to additional taxes. Airline industry would be relatively unaffected by new regulations (nothing in the question suggests impact on airline industry).

(Module 7.1, LOS 7.i)